

Investment Strategy Report

Retirement Investment Plan: John and Mary Davis

1. Executive Summary

This report recommends an investment strategy for John and Mary Davis, who have recently retired and have a \$1.5 million portfolio to manage. John wants to protect capital and keep risk low. Mary is willing to accept some risk if it supports better long-term growth. The aim is to recommend a portfolio that respects both objectives.

Using the assigned stocks and the optimisation results in the technical appendix, the recommended strategy is a blended portfolio: 55% weighted toward John's conservative approach and 45% toward Mary's growth focus. The final allocation is Mastercard (MA) 40.0%, Netflix (NFLX) 22.2%, Berkshire Hathaway (BRK-B) 22.0%, Morgan Stanley (MS) 12.1% and American Express (AXP) 3.7% (*Technical Appendix, Table: Recommended blended portfolio allocation for the \$1.5 million portfolio*).

The 2025 validation results support this choice. The blended portfolio produced an average monthly return of 1.28% and monthly volatility of 3.71%, sitting between John's lower-risk portfolio and Mary's higher-return portfolio. This is a practical middle ground for a recently retired couple with genuinely different priorities.

2. Model Assumptions

The analysis is limited to the ten assigned stocks, as shown below:

Stock	Name
AMT	American Tower Corporation
AXP	American Express Company
BRK-B	Berkshire Hathaway Inc. (Class B)
C	Citigroup Inc.
ELA	Envela Corporation
EOG	EOG Resources, Inc.
MA	Mastercard Incorporated
MS	Morgan Stanley
NFLX	Netflix, Inc.
REGN	Regeneron Pharmaceuticals, Inc.

Table 1: Ten assigned stocks for analysis

Monthly returns are calculated from adjusted closing prices from January 2015 to December 2025. January 2015 to December 2024 is used to build the portfolios, while 2025 is kept separate for validation (*Technical Appendix, Section 1*).

Stocks are ranked by return generated per unit of risk. This rewards stocks that delivered stronger returns without excessive volatility and keeps the selection process evidence based.

The portfolio rules are practical: all capital must be invested, short selling is not allowed, and no single stock can exceed 40% of the portfolio. The 40% cap prevents the recommendation from relying too heavily on one company, which is important for retired clients.

The model does not include taxes, transaction costs, inflation, income withdrawals or future changes in John and Mary's personal situation. Historical data supports the recommendation, but it does not guarantee future performance.

3. Key Findings

The selected stocks are MA, NFLX, BRK-B, MS and AXP. Together, they reduced risk compared with holding the stocks separately: the equal-weighted five-stock portfolio had monthly volatility of 5.95%, compared with an average individual stock volatility of 7.95%. This 25% reduction in risk for no loss in average return is the core argument for holding a portfolio over individual stocks (*Table: Individual versus diversified top-5 return risk*).

The two client-specific portfolios behaved as intended in 2025. John's conservative portfolio had lower average monthly return of 1.17% with lower monthly volatility of 3.18%. Mary's growth portfolio delivered a higher average monthly return of 1.40%, but with higher monthly volatility of 5.22%. Mary's extra 0.23 percentage points of monthly return came at a cost of 2.04 percentage points of extra volatility. That ratio is the trade-off between the two objectives were designed to expose (*Technical Appendix, Table: Estimation versus out-of-sample validation performance*).

The blended portfolio balanced the two outcomes. Compared with John's portfolio, it added 0.11 percentage points of average monthly return at the cost of 0.53 percentage points of extra monthly volatility. Compared with Mary's portfolio, it reduced monthly volatility by 1.51 percentage points while giving up only 0.12 percentage points of average monthly return.

The statistical tests found no strong evidence that 2025 returns were meaningfully different from the historical average. However, the validation period has only 12 monthly observations, so this result should be interpreted cautiously rather than as proof of future performance (*Technical Appendix, Table: Two-sided t-tests for whether expected portfolio returns changed in 2025*).

4. Conclusion and Recommendations

The recommended allocation for John and Mary is the blended portfolio shown below. The dollar amounts translate the recommended weights into the \$1.5 million portfolio value.

Stock	Weight	Dollar allocation
MA (Mastercard)	40.0%	\$600,000
NFLX (Netflix)	22.2%	\$333,000
BRK-B (Berkshire Hathaway)	22.0%	\$330,000
MS (Morgan Stanley)	12.1%	\$181,500
AXP (American Express)	3.7%	\$55,500

Source: *Technical Appendix, Table: Recommended blended portfolio allocation for the \$1.5 million portfolio.*

The 55/45 split reflects their stage of life. Capital preservation receives slightly more emphasis because they are recently retired, but Mary's preference for growth is still meaningfully included rather than being ignored. A 50/50 split was considered and rejected as it underweights capital preservation for a recently retired couple. Meanwhile, a 60/40 split was rejected as it leaves too little room for Mary's growth objective.

This allocation should be reviewed at least once a year. If market movements push the actual weights far from these targets, rebalancing should be considered. If their circumstances or risk preferences change, the underlying objectives should also be revisited.

This plan is not a guarantee of any particular outcome. It is a disciplined and evidence-based starting point that takes both clients seriously and uses the available information as carefully as possible.